INFRA BONANZAS

Tier 2 and 3 cities gets special focus. The unlocking of real estate tee fund and an investment trust would aid this



ATUL KUMAR YADAV

THE FUTURE BET

- **Tier 2 and 3 cities to be developed as integrated economic hubs with modern infrastructure**
- **An Infra Risk Guarantee Fund to offer credit guarantees to insitutions lending for long-gestation projects**



"The budget introduces measures that may expand the country's industrial and urban development footprint, with potential knock-on effects across various real estate asset categories"

— CHINTAN PATEL
Partner and Head, Building, Construction and Real Estate, KPMG India

For ordinary Indians, the impact of the government's latest proposals aimed at the construction and real estate sector will be felt if their cities eventually become easier places to live, work and invest in. This is exactly what Union finance minister Nirmala Sitharaman hopes to achieve with the new concept of City Economic Regions (CER) announced in the budget. The idea is to develop clusters of Tier 2 and 3 cities and temple towns in the country as integrated economic regions with a dedicated fund of Rs 5,000 crore for each region per year over five years. This is expected to finance city infrastructure, including basics such as roads, water supply, drainage, public transportation and social utilities. All this will unlock massive opportunities in construction and real estate, says Parth Jindal, president of Cement Manufacturers Association. "This should accelerate construction activity across housing, transport and urban services," he says.

Sitharaman has addressed the risk on financing in long-gestation infrastructure projects by setting up a government-owned and controlled Infrastructure Risk Guarantee Fund. The fund will offer partial credit guarantees to banks and financial institutions that lend towards projects during the risky construction period. This is when delays, cost overruns and regulatory hurdles so often derail projects. By taking on part of that risk, the government hopes to make it easier for private developers to obtain funding. "This marks a meaningful step towards risk minimisation in real estate," says Amar Sarin, MD and CEO of real estate major Tarc. "By signalling an intent to crowd in private investment rather than rely on public spending, it enhances stability and trust across the investment ecosystem."

The government's effort to monetise surplus public sector land and buildings through real estate investment trusts (REITs) is another welcome move. Ultimately, they would inject supply into the market and make public money available for new infrastructure.

Together, supportive measures such as promoting domestic manufacturing of equipment for construction, infrastructure and incentivising university townships in proximity to industrial corridors are expected to lower construction costs and develop a talent pool. Continued investment in infrastructure in tandem with CERs can lead to new markets of real estate development in smaller cities, says an analysis by KPMG India. ■